How it works

In its simplest form, two parties to a barter transaction agree on a price (such as a cow for wheat) and physically hand over the goods at the agreed time. However, this may not always be possible—for example, the wheat might not be ready to harvest, so one party may accept an IOU to be exchanged later for the physical goods. Eventually these IOUs acquire their own value and the IOU holder could exchange them for something else of the same value as the original commodity (perhaps apples instead of wheat). The IOUs are now performing the same function as actual money.